share of preferred (the same ratio as in the case of Consolidated Cigar Preferred). But the unit of trading on the New York Stock Exchange was the warrant originally attached to one share of preferred, *i.e.*, it called for half a share of common. Similar departures were made in the rules of trading for Niagara Hudson Power Corporation BWarrants; Loew's, Inc., Preferred Warrants; Safeway Stores, Inc., "Old Series" Warrants, etc.

When a change is made in the number of shares called for by the warrant, the customary procedure is to continue to trade in "one old warrant" as "one warrant."

Example: "One Loew's Bond warrant" originally called for one share of common at $55. It represented the warrant attached to $200 of Loew's 6% Debentures, due 1941. When a 25% stock dividend was paid in 1928, the antidilution provision required that an additional quarter share be given free with each share subscribed for under the warrant. "One Loew's Bond warrant" remained physically unchanged and thereafter represented the right to purchase 1¹/₄ shares for $55. Similarly in the case of Commercial Investment Trust warrants when the common stock was split 2¹/₂ for 1. One warrant thereafter represented the right to buy 1¹/₄ new shares instead of ¹/₂ an old share.

But the opposite practice is sometimes followed.

Example: Niagara Hudson Power A warrants. These called for one share of common at $35. The company recapitalized in 1932 and issued 1 new share for 3 old. Hence what was formerly "one warrant" now called for ¹/₃ of a new share for $35, *i.e.*, at $105 per share. The New York Curb Exchange thereupon redefined "one A warrant" as representing the right to buy one *new* share. Hence three old warrants became one new warrant.

These technical details are given here because they are not available in standard descriptive textbooks. Those buying or selling a particular option warrant are cautioned to make careful inquiry into the basis of trading therein.[3]

Examples of Warrants Issued for Various Purposes. *A. Attached to Senior Securities.* Perhaps the earliest instance is the issue of American Power and Light notes in 1911. By far the most prominent is the sale by American and

[3] Subscription rights are invariably dealt in in New York on the basis of "one right" meaning the right received by the owner of one share of stock. This is the opposite idea from that ordinarily followed in option warrants. See Appendix Note 63 for a rapid method of calculating the value of subscription rights.